

Even if you are a mutual fund shareholder rather than a direct buyer of stocks, you should be aware of investing methods to decide if your fund managers are conducting their business in a manner that makes sense to you. Prospectuses, recent fund reports, and press coverage can supply you with sufficient information about how different managers take care of money.

As for my own approach, I cannot overemphasize that I believe in entrepreneurially managed small companies that are benefiting from an important economic, social, or technological trend and whose domination of a niche promises superior earnings growth. And that I acquire them only if I can get them at a reasonable price.

To state my investment philosophy more succinctly, I want the companies I invest in to rest on a solid tripod. They must show evidence of

- Growth potential
- Financial strength
- Fundamental value

The first two obviously require analyzing the company; the last relates the company to its current market price.

Growth Potential

Growth potential implies many virtues, for a company can't be growing if it doesn't have fine products, an expanding market for those products, and the ability to efficiently manufacture and market them.

The best assurance of continued growth, and high profit margins, comes back to this: the company should have a special niche in the marketplace, so that sales don't depend on offering a commodity item at a lower price than the competition's. It should, to the degree possible, dominate that niche. The best company in a marginal in-